

Property Risk Appetite Statement

Document No. UW-PR-022 | Effective January 1, 2026

Property coverage appetite favors buildings of masonry or fire-resistive construction under 50 years old, with updated electrical and plumbing systems. Risks located in FEMA-designated flood zones A or V require separate flood coverage and are not eligible for standard property limits above \$2,000,000 without flood mitigation documentation on file. Cold storage and refrigeration risks, particularly ammonia-based systems, require an equipment breakdown endorsement. Roofs older than 20 years require a current roof condition report before binding. Vacant buildings and buildings mid-renovation are outside appetite unless written through a specialty program. Catastrophe-exposed properties in named-storm regions require wind mitigation credits to be documented before binding, including roof-to-wall connections and opening protection ratings. Business income coverage is capped at twelve months of documented net income plus continuing expenses unless a longer period is specifically endorsed. Properties with prior water damage claims exceeding \$50,000 in the last three years require a plumbing inspection report dated within the last 180 days. Solar panel installations must be professionally installed and permitted, with inverter equipment excluded from coverage unless scheduled separately. Properties leased to a single tenant operating a restaurant or commercial kitchen require a current hood and suppression system inspection certificate. Valuation is written on a replacement cost basis for buildings under 40 years old; older buildings default to actual cash value unless a replacement cost endorsement is specifically requested and supported by a current appraisal. Appraisals are required at binding for any single location valued over \$10,000,000 and must be refreshed at least once every five years thereafter. Protective safeguards warranties, once endorsed onto a policy, become a condition of coverage; a central-station fire alarm or sprinkler system that is out of service for more than 48 hours must be reported to the carrier before continued coverage is assumed. Builder's risk exposure during renovation is not covered under this program and must be placed as a separate policy for the duration of construction. Business personal property coverage excludes property in the open unless specifically scheduled, and excludes money, securities, and accounts receivable records, which require separate crime or inland marine placement. Ordinance or law coverage, which pays for the increased cost of rebuilding to current code after a partial loss, is not included by default and must be purchased separately with limits matching at least 25 percent of the building's replacement cost. Equipment breakdown coverage for HVAC, boilers, and production machinery is subject to a separate deductible from the base property deductible and is written only through the carrier's designated equipment breakdown partner. Properties with on-site power generation, including backup generators over 100 kilowatts, require documentation of the generator's maintenance schedule and automatic transfer switch testing. Debris removal coverage is capped at 25 percent of the amount of loss unless a higher sublimit is specifically endorsed, which matters most for total losses involving hazardous material remediation. Ordinance, equipment breakdown, and debris removal sublimits are reviewed at every renewal and adjusted to reflect current construction cost indices for the property's region. Coinsurance requirements are set at 90 percent of replacement cost value for all standard placements; insureds who decline to carry adequate limits are subject to a coinsurance penalty applied at

time of loss, calculated by comparing the limit carried to the limit required. Blanket limits across multiple locations are permitted only when at least three locations are scheduled and no single location represents more than 70 percent of total insured value. Vacant land and unoccupied structures awaiting demolition are excluded from this program regardless of construction type. Properties undergoing a change of occupancy, such as conversion from office to residential use, must be re-underwritten before the occupancy change takes effect, since rating and eligibility are both tied to occupancy class. Ordinance and law, equipment breakdown, and business income sublimits stack against the same overall policy aggregate and are not available as additional limits beyond what is stated on the declarations page.